non-development services. However, the schematic expenditures of the Central government still mimic plan schemes. A few schemes focused on sovereign or other public goods functions of the government, see the light of day, even today.

Real Expenditure Responsibilities of the Central Government

To reform the current structure of expenditures, it is necessary to look at the real expenditure functions and role of the Central government. It has two primary functions:

One, the provision of public goods and services. Defence, internal security, environmental well-being like control of pollution, law and justice, macroeconomic stability, regulation of markets, currency are some of these public goods and services. Other legitimate government functions include provision of primary education, supplementary nutrition to women and children and primary health, which have positive spillovers or externalities and functions like control of beggary, vagrancy, consumption of narcotics, etc., which have substantial negative spillovers and externalities. While provision of many of these goods and services are within the domain of the states in our constitution, the Centre is duty-bound to deliver and support such services and incur expenditures thereon.

Two, redistribution. There are many unfortunate citizens who, on account of physical and mental inadequacies, are not able to earn income for their living. Working of the economic system also leaves a large number of people unable to earn enough to meet their multidimensional minimum needs. These people have to be provided resources to meet their minimum needs. The rich have to be taxed or the government has to borrow from the future to redistribute resources to reduce/eliminate social income inequality.

It is helpful to recognize and classify these people in three groups of the poor to design the programmes of support from the government: